

Scheme to Promote Manufacturing of Sintered Rare Earth Permanent Magnets



For Prelims: Scheme to Promote Manufacturing of Sintered Rare Earth Permanent Magnets , Sintered rare earth permanent magnets , Thorium , National Critical Mineral Mission

For Mains: Rare Earth Permanent Magnet (REPM) Manufacturing Scheme, Critical minerals and India's strategic autonomy

Source: TH

Why in News?

The **Scheme to Promote Manufacturing of Sintered Rare Earth Permanent Magnets** has brought renewed focus on India's efforts to build a **domestic permanent magnet manufacturing ecosystem** and reduce dependence on China.

- However, experts highlight a **"visibility problem"** in accurately mapping India's technological capabilities and strategic dependencies across the **complex, multi-stage REPM value chain** , from rare-earth processing to finished magnet production.

Summary

- REPM Manufacturing Scheme aims to create 6,000 MTPA domestic capacity for sintered rare-earth permanent magnets, reducing import dependence and strengthening India's EV, renewable energy and advanced manufacturing sectors.
- India faces heavy rare-earth shortages, weak refining capacity, monazite-thorium constraints and limited recycling. Strengthening the entire value chain, mineral diplomacy and urban mining is essential for long-term critical mineral security.

What is the Scheme to Promote Manufacturing of Sintered Rare Earth Permanent Magnets?

- **About:** Approved by the Union Cabinet in November 2025, it is a **Rs 7,280 crore scheme** aimed at establishing an integrated domestic manufacturing ecosystem for **sintered rare earth permanent magnets**.
 - It is a **first-of-its-kind national initiative** that seeks to build the complete supply chain within the country - from **refining rare-earth oxides** to producing metals, alloys, and finished sintered magnets.
- **Target Capacity:** The scheme targets setting up a **6,000 Metric Tonnes Per Annum (MTPA)** capacity.
 - This capacity will be allocated among **five beneficiaries** (1,200 MTPA each) selected through a global competitive bidding process.
 - The financial outlay includes a Rs 750 crore capital subsidy for setting up units and Rs 6,450 crore in **sales-linked incentives**.
- **Implementation & Duration:** The scheme will run for 7 years, comprising a 2-year gestation period for facility setup and 5 years of incentive disbursement. This phased approach ensures adequate time for infrastructure creation and sustained production.
- **Need for the Scheme:**
 - **Surging Demand & Import Dependence:** India's demand for REPMs is projected to **double by 2030** . Currently, the country is heavily reliant on imports, bringing in over **53,000 metric tonnes in 2024-25** alone.
 - **Supply Chain Vulnerability:** Between 2022 and 2025, **China supplied 60-90%** of India's permanent magnets.
 - With China controlling the global supply chain and tightening export rules, **Indian EV and automakers have faced severe delays, supply uncertainty, higher costs, and production risks** .
 - **Strategic Alignment:** Domestic REPM manufacturing is crucial for industry resilience. It directly supports clean mobility, enhances energy security, and aligns with India's long-term targets under **Net Zero 2070** and **Viksit Bharat 2047** .

What are Rare Earth Permanent Magnets (REPMs)?

- **About:** REPMs are high-performance magnets made from rare earth elements such as **Samarium (Sm), Neodymium (Nd), Praseodymium (Pr), Dysprosium (Dy), and Cerium (Ce)** .
- **Superior Properties:** Compared to traditional ferrite or AlNiCo magnets, REPMs offer a much higher **maximum energy product, greater coercivity, and stronger magnetic output in highly compact sizes**.
 - This makes them indispensable for **high-efficiency motors** and miniaturized devices.
- **Sintered REPMs:** These are produced through "sintering" - a process where fine rare-earth alloy powders are compacted under intense pressure and heated at high temperatures to form dense, strong magnetic structures.
 - Sintered **NdFeB (neodymium-iron-boron)** and **SmCo (samarium-cobalt)** magnets are the strongest commercially available permanent magnets.
- **Importance for India's EV Ecosystem:** Rare earth magnets, particularly NdFeB types, are vital for EV traction motors, steering, braking, and other critical components.
 - They drastically improve a vehicle's mechanical efficiency, power output, and overall battery range.

India's Policy Measures for Rare Earths

- **Mines and Minerals (Development and Regulation) Amendment Act, 2023:** De-listed several critical minerals, including **rare earths** , from the atomic minerals list, enabling **commercial mining and greater private-sector participation** .
- **National Critical Minerals Mission (NCMM):** Approved in **January 2025** , it focuses on securing critical-mineral value chains through **exploration, processing, recycling and overseas asset acquisition** .
- **Dedicated Rare Earth Corridors:** Announced in **Union Budget 2026-27** for **Odisha, Kerala, Andhra Pradesh and Tamil Nadu** , aimed at integrating **mining, processing, research and manufacturing** .
- **International Partnerships:** India is securing critical-mineral supplies through partnerships with countries such as **Australia, Argentina, Zambia and Mozambique** .
 - **Khanij Bidesh India Limited (KABIL)** works to acquire and develop **overseas critical-mineral assets** ; it has partnered with **Argentina** for lithium exploration.



What are the Key Challenges to India's REPM Mission?

- **Visibility Gap and Import Surge:** India faces a “**visibility gap**” in tracking its magnet economy. While the domestic market is estimated at **Rs 750 crore** , imports are much higher as magnets often enter embedded in **EV motors and wind turbines** .
 - Consequently, imports nearly doubled from **28,700 tonnes in FY2023-24 to 53,700 tonnes in FY2024-25** , highlighting the need for **stage-wise value-chain mapping** .
- **Shallow Exploration and Failed Auctions:** India's critical-mineral auctions face weak participation

due to **inadequate geological data** . Only about **48% of blocks auctioned during 2020-23 were successfully sold** .

- Limited **G1/G2 exploration data** makes it difficult for investors to assess reserves and price blocks accurately, leading to **failed auctions** .
- **Heavy Rare-Earth Deficit:** India has a **substantial rare-earth resource base** , holding an estimated 13.15 million tonnes of monazite that contains approximately 7.23 million tonnes of **Rare Earth Oxides (REOs)** spread across eight states (Odisha, Kerala, Andhra Pradesh, Tamil Nadu, West Bengal, Gujarat, Maharashtra, and Jharkhand).
 - However, this resource availability has not yet translated into a self-reliant REPM manufacturing ecosystem.
 - A critical reason for this is geological: **India's monazite deposits are heavily skewed toward Light Rare Earth Elements (LREEs)** such as Cerium, Lanthanum, and Neodymium, but severely lack **Heavy Rare Earth Elements (HREEs)** like Dysprosium and Terbium.
 - These heavy **elements are essential for sintered NdFeB magnets** to retain their magnetic properties at the high operating temperatures found in electric vehicle motors and wind turbines.
- **The Monazite-Thorium Regulatory Knot:** Indian **monazite** is found alongside radioactive **Thorium** , which is strictly reserved for the nuclear program.
 - This subjects the entire extraction process to **restrictive atomic energy regulations**, severely complicating fast-paced private commercial processing.
- **Absence of a Circular Economy:** India lacks specific material recovery targets for rare earth magnets, treating them instead as general bulk electronic waste.

What Measures Can Strengthen India's REPM Ecosystem?

- **Map the Value Chain:** The government must update the **National Critical Mineral Mission's** monitoring framework to record domestic capabilities at every single stage (from ore to final assembly) to target subsidies effectively.
- **Mineral Diplomacy for Heavy Rare Earths:** To fix the **Dysprosium shortage**, India must secure heavy rare earth offtake through **overseas asset acquisition** s, making these contracts conditional on processing the materials inside India.
- **De-Risk Monazite Processing:** The government should create a licensed, transparent private participation route for the non-thorium fraction of monazite, implementing a strict custody protocol to safely return the radioactive thorium residue to the state.
- **Urban Mining & Circular Economy:** Establish robust e-waste protocols specifically designed to separate and recover **NdFeB magnets from old EVs** and electronics, creating a secondary domestic feedstock that requires no new mining.

Drishti Mains Question:

“Critical mineral security is increasingly an issue of economic security and technological sovereignty.” Discuss with reference to India's rare-earth supply chains.

Frequently Asked Questions (FAQs)

1. What is the Rare Earth Permanent Magnet (REPM) Manufacturing Scheme?

It is a **₹7,280-crore scheme** approved in 2025 to establish **6,000 MTPA domestic capacity for sintered rare-earth permanent magnets** and develop an integrated manufacturing ecosystem.

2. Why are NdFeB magnets important for India?

NdFeB magnets offer high magnetic strength in compact sizes and are crucial for **EV traction motors, wind turbines, electronics, robotics and advanced manufacturing**.

3. Why are Heavy Rare Earth Elements important for REPMs?

Dysprosium and Terbium improve the high-temperature performance of NdFeB magnets, making them important for applications such as **EV motors and wind turbines**.

4. What is the major challenge posed by India's monazite resources?

Monazite contains **thorium along with rare-earth minerals**, bringing its extraction and processing under stringent **atomic-energy regulations** and complicating commercial processing.

5. How can India develop a circular economy for rare-earth magnets?

India can establish **specific recovery and recycling targets for NdFeB magnets** from end-of-life **EVs, electronics and wind turbines**, creating a secondary source of rare-earth materials.

[Watch Video on YouTube: [▶ https://www.youtube.com/embed/3PtYvWLUxHI](https://www.youtube.com/embed/3PtYvWLUxHI)]

UPSC Civil Services Examination, Previous Year Questions (PYQs)

Q. Recently, there has been a concern over the short supply of a group of elements called 'rare earth metals'. Why? (2012)

1. China, which is the largest producer of these elements, has imposed some restrictions on their export.
2. Other than China, Australia, Canada and Chile, these elements are not found in any country.
3. Rare earth metals are essential for the manufacture of various kinds of electronic items and there is a growing demand for these elements.

Which of the statements given above is/are correct?

- (a) 1 only
- (b) 2 and 3 only
- (c) 1 and 3 only
- (d) 1, 2 and 3

Ans: (c)

Uniform Civil Code



For Prelims: Uniform Civil Code , Article 44 of the Constitution , Fifth and Sixth Schedules , CEDAW, 1979 , Talaq-e-Biddat

For Mains: Uniform Civil Code, UCC vs Religious Freedom, Personal laws and the rights of minorities, Challenges in balancing individual rights with community rights

Source: TH

Why in News?

The debate surrounding the **Uniform Civil Code (UCC)** has regained momentum as **UCC Bills passed by Assam, Gujarat and Madhya Pradesh are currently awaiting Presidential assent** , while **Uttarakhand has had a UCC in force since January 2025** . The developments reflect growing efforts to establish a **common civil law framework** covering marriage, divorce, inheritance and adoption.

Summary

- Uniform Civil Code (UCC) aims to establish common civil laws for all citizens in matters such as marriage, divorce, inheritance, adoption and succession, promoting gender justice, equality and national integration.
- The UCC debate centres on balancing constitutional equality and individual rights with religious freedom, cultural diversity and tribal customary laws, making consensus-based reform crucial.

What is a Uniform Civil Code?

- **Definition:** A Uniform Civil Code envisions a **singular, common set of civil laws governing all citizens of India** equally in matters of **marriage, divorce, custody, adoption, maintenance, inheritance, and succession of property** , irrespective of their religious faith or community affiliations.
- **Dichotomy in Indian Law:** India possesses uniform codes across the **criminal and commercial spectra** (e.g., **Bharatiya Nyaya Sanhita, 2023** , **Indian Contract Act, 1872**, **Transfer of Property Act of 1882**).
 - However, civil personal matters continue to be governed primarily by community-specific personal laws derived from religious texts, traditions, or customary practices.
- **Constitutional Provisions Governing UCC:** **Article 44 of the Constitution** , placed under **Part IV (Directive Principles of State Policy (DPSP))** , states: "*The State shall endeavour to secure for the citizens a Uniform Civil Code throughout the territory of India.*"

- Under **Article 37** , DPSPs are fundamental in the governance of the country, but they are **non-justiciable** (unenforceable by courts).

Current Status of Personal Laws in India

- **Hindus, Buddhists, Jains, and Sikhs:** Broadly codified under the **Hindu Code Bills of 1955-56** (Hindu Marriage Act, Hindu Succession Act, Hindu Minority and Guardianship Act, and Hindu Adoptions and Maintenance Act).
 - Sikh marriages can additionally be registered under the **Anand Marriage Act, 1909 (amended 2012)** .
- **Muslims:** Governed by uncodified or partially codified personal laws based on Shariat, primarily anchored in the **Muslim Personal Law (Shariat) Application Act, 1937** , and the **Dissolution of Muslim Marriages Act, 1939**.
- **Christians and Parsis:** Governed by enactments such as the Indian Christian Marriage Act (1872), the Indian Divorce Act (1869), and the Parsi Marriage and Divorce Act (1936).
- **Tribal Customary Laws:** Protected through constitutional exceptions and safeguards, including provisions under the **Fifth and Sixth Schedules** and **Articles 371** , which protect customary family traditions from standard legislative overriding.
- **Secular Legislation:** Parallel secular options exist for citizens choosing to step outside personal laws, such as the **Special Marriage Act, 1954** .

What are the Arguments For and Against UCC?

Arguments in Favour of UCC	Arguments Against UCC
Gender Justice & Equality: Can ensure uniform rights in inheritance, divorce, marriage and guardianship , strengthening Articles 14, 15 and 21 .	Erosion of Pluralism: Uniform laws may undermine India’s religious and cultural diversity , raising concerns under Articles 25 and 29 .
Constitutional Secularism: Civil rights would be based on citizenship rather than religion , reinforcing secular principles.	Minority Alienation: Without broad consensus, UCC may create fears of majoritarian imposition on minority traditions.
National Integration: Implementing a “One Nation, One Law” approach can establish common civil standards , reduce religion-based legal differences and promote a shared civic identity.	Tribal & Customary Practices: A uniform code may conflict with tribal customs , particularly in the North-East and Fifth Schedule areas . For instance, some OBC communities such as the Kurmis have also expressed concerns about their inclusion under the UCC, highlighting the importance of protecting community-specific customs and identities.
International Obligations: India is a party to the International Covenant on Civil and Political Rights (ICCPR), 1966 and CEDAW, 1979 . UCC supports India’s commitment to equality and non-discrimination , including gender equality.	Uniformity ≠ Equality: Uniform laws do not automatically ensure substantive equality. Discriminatory provisions could instead be reformed within existing personal laws .

Landmark Supreme Court Pronouncements on UCC

- **Mohd. Ahmed Khan v. Shah Bano Begum (1985):** The Supreme Court upheld the right of a divorced Muslim woman to maintenance under Section 125 of the CrPC and lamented that Article 44 had remained a "dead letter" **and stressed the need for a Uniform Civil Code.**
- **Sarla Mudgal v. Union of India (1995):** The Court held that a Hindu husband cannot convert to **Islam solely to contract a second marriage without dissolving an existing Hindu marriage** and highlighted the need for a UCC to prevent misuse of personal laws.
- **Daniel Latifi v. Union of India (2001):** The Court upheld the Muslim Women (Protection of Rights on Divorce) Act, 1986, while ensuring that a divorced Muslim woman receives reasonable and fair provision beyond the Iddat period.
- **John Vallamattom v. Union of India (2003):** The Court struck down Section 118 of the Indian Succession Act, 1925, as discriminatory under **Article 14 and linked a common civil code with national integration.**
- **Shayara Bano v. Union of India (2017):** The Court declared **Talaq-e-Biddat (instant triple talaq) unconstitutional**, reinforcing that personal-law practices can be tested against constitutional principles.
- **Jose Paulo Coutinho v. Maria Luiza Valentina Pereira Case, 2019:** The Court praised Goa as a "shining example" where " **the uniform civil code is applicable to all, regardless of religion, except while protecting certain limited rights**" and **called for its implementation across India.**

Way Forward

- **Prioritising Gender Justice:** The fundamental objective of reforming civil laws must be to secure equal rights for women across all religions in matters of marriage, divorce, maintenance, and inheritance.
- **Upholding Constitutional Morality:** As observed by the Supreme Court in the **Section 6A of the Citizenship Act, 1955 (2024) case**, fundamental rights (like Articles 25 and 29) are subject to **constitutional morality and equality**. Practices running against the spirit of the Constitution (like gender discrimination) do not receive protection under Article 29.
 - Therefore, reforming personal laws to eliminate discrimination should be viewed as upholding the Constitution's spirit.
- **A Voluntary Approach (Dr. B.R. Ambedkar's Vision):** To address resistance and build trust among minority communities, lawmakers could consider Dr. B.R. Ambedkar's suggestion in the Constituent Assembly.
 - He proposed that the application of a UCC could initially be made **voluntary**, applying only to citizens who explicitly declare their willingness to be bound by it.
- **Focus on 'Equality Within Communities':** The **21st Law Commission of India**, in its 2018 *Consultation Paper on Reform of Family Law*, concluded that a blanket UCC is "**neither necessary nor desirable at this stage**".
 - Instead of forcing 'equality between communities' (uniformity), the immediate legislative focus should be on achieving '**equality within communities**'.

- This can be achieved by systematically amending discriminatory provisions in various existing personal laws (regarding custody, adoption, succession, etc.) to ensure comprehensive gender justice.

Conclusion

UCC should balance **gender justice, individual dignity and constitutional equality** with India's **religious and cultural diversity** . Its success depends on **broad consultation (including women's groups, communities and stakeholders), consensus-building and sensitivity to customary practices** . The goal should be **inclusive legal reform, not cultural uniformity** .

Drishti Mains Question:

"Article 44 seeks uniformity in civil laws, while Articles 25 and 29 protect India's pluralistic character." Discuss how these constitutional objectives can be reconciled in the context of Uniform Civil Code.

Frequently Asked Questions (FAQs)

1. What is Article 44 of the Constitution?

Article 44 directs the State to **endeavour to secure a Uniform Civil Code** for citizens throughout India. It is part of the **Directive Principles of State Policy** and is non-justiciable under Article 37.

2. Which state first implemented the Uniform Civil Code in independent India?

Uttarakhand brought its UCC into force in **January 2025** , making it the first state in independent India to implement such a comprehensive state-level code.

3. Which Supreme Court cases are important for the UCC debate?

Key cases include **Shah Bano (1985)**, **Sarla Mudgal (1995)**, **Daniel Latifi (2001)**, **John Vallamattom (2003)**, **Shayara Bano (2017)** and **Jose Paulo Coutinho (2019)** . The Court has addressed maintenance, marriage, succession, gender justice and personal-law reform.

4. How does UCC relate to gender justice?

UCC can seek **equal rights in marriage, divorce, maintenance, inheritance, adoption and guardianship** , while removing discriminatory provisions from personal laws.

5. What is the major challenge in implementing UCC?

The key challenge is balancing **equality and individual rights** with **religious freedom, cultural pluralism and tribal customary practices** , while ensuring broad consultation and constitutional safeguards.

[Watch Video on YouTube: [▶ https://www.youtube.com/embed/-xuwA3e_XnQ](https://www.youtube.com/embed/-xuwA3e_XnQ)]

UPSC Civil Services Examination, Previous Year Questions (PYQs)

Prelims :

Q. Consider the following provisions under the Directive Principles of State Policy as enshrined in the Constitution of India: (2012)

1. Securing for citizens of India a uniform civil code
2. Organising village Panchayats
3. Promoting cottage industries in rural areas
4. Securing for all the workers reasonable leisure and cultural opportunities

Which of the above are the Gandhian Principles that are reflected in the Directive Principles of State Policy?

- (a) 1, 2 and 4 only
- (b) 2 and 3 only
- (c) 1, 3 and 4 only
- (d) 1, 2, 3 and 4

Ans: (b)

Mains:

Q. Discuss the possible factors that inhibit India from enacting for its citizen a uniform civil code as provided for in the Directive Principles of State Policy. (2015)

India's FinTech Ecosystem



Source: PIB

Why in News?

Recently, the **7th edition of Global FinTech Fest (GFF) 2026** was organised in Mumbai, highlighting India's growing global influence in **financial technology and digital finance**.

- India's fintech ecosystem has been transformed through **Digital Public Infrastructure (DPI) such as Aadhaar and UPI**, enabling digital identity, instant payments and inclusive financial services at a large scale.

What are the Key Facts About the Global Fintech Fest (GFF)?

- **About:** Global FinTech Fest (GFF) is a global platform for **fintech innovation, collaboration and dialogue**, showcasing India's digital finance ecosystem and experience with **Digital Public Infrastructure (DPI)**.
- **Evolution:** Since its inception in **2020**, GFF has emerged as one of the world's leading fintech gatherings, connecting global innovators, policymakers and industry leaders.
- **Organisers:** The event is organised by the **Payments Council of India (PCI)**, **National Payments Corporation of India (NPCI)**, and **Fintech Convergence Council (FCC)**, with support from institutions such as **RBI**, **MeitY**, **SEBI**, **NITI Aayog**, etc.
- **Theme of GFF 2026:** "Potential to Impact: Agentic AI | Tokenisation | Quantum: Trusted, Connected, Global Systems for Inclusive Finance." The theme focuses on **three transformative technologies** that are reshaping financial systems by making them more **autonomous, programmable, secure and inclusive**.
 - **Agentic AI:** Enables real-time decision-making, automation, fraud prevention and personalised financial services.
 - **Tokenisation:** Facilitates programmable digital assets, fractional ownership and faster settlements.
 - **Quantum Technology:** Strengthens financial security through quantum-safe systems and advanced computing.



What are the Key Facts About FinTech?

- **About:** **Financial Technology (FinTech)** refers to the use of **technology-driven innovations** to improve the efficiency, accessibility and delivery of financial services. It includes new **business models, applications, processes and products** that significantly influence financial markets, financial institutions and financial service delivery.

Key Enabling Technologies in FinTech

- **Application Programming Interface (API):** **APIs** are a set of rules and protocols that enable different software applications to communicate with each other. They allow developers to build new financial applications and services by integrating existing platforms.

- **Cloud Computing:** **Cloud computing** uses online networks of computing resources to provide scalable and flexible digital infrastructure. It reduces operational costs and enables financial institutions to handle large volumes of data efficiently.
- **Biometric Technology:** **Biometrics** uses unique and measurable human characteristics, such as fingerprints and facial recognition, for identification and authentication. It improves security and enables easier access to financial services.
- **Distributed Ledger Technology (DLT):** **DLT** is a digital record-keeping system where transaction data is stored across multiple locations simultaneously. It enhances transparency, security and efficiency in financial transactions.
- **Big Data Analytics:** **Big Data** refers to large volumes of structured and unstructured data that can be collected, analysed and utilised through digital tools. It helps financial institutions improve decision-making, risk assessment and customer services.
- **Artificial Intelligence (AI) and Machine Learning (ML):** **AI and ML systems** enable computers to perform tasks requiring human-like intelligence. **Machine learning** allows systems to learn from data and improve performance without direct human programming.

Significance of FinTech

- **Enhancing Financial Efficiency:** FinTech has improved the speed, affordability and efficiency of financial services. For example, **Unified Payments Interface (UPI)**, recognised by the **International Monetary Fund (IMF)** as the world's largest real-time payment system, processed **2,365.8 crore transactions worth ₹29.88 lakh crore in July 2026**, with **741 banks** connected to the platform. Transaction volumes have increased nearly **12,000 times since FY 2016-17**.
- **Promoting Financial Inclusion:** FinTech helps overcome barriers such as **information asymmetry and high transaction costs**, thereby expanding access to formal financial services. India's **Financial Inclusion Index** increased from **43.4 in March 2017 to 70.0 in March 2026**, reflecting greater penetration of digital financial services.
- **Diversifying Credit Sources:** FinTech platforms have expanded credit access beyond traditional banking channels by enabling alternative lending models. This diversification reduces excessive dependence on a limited number of financial institutions and strengthens **competition, resilience and stability** in the financial ecosystem.

How has India Built a Strong FinTech Ecosystem?

- **JAM Trinity: Enabling Digital Financial Inclusion:** The **Jan Dhan-Aadhaar-Mobile (JAM) Trinity** provides the foundational layer for India's digital finance ecosystem. **Jan Dhan accounts** enable access to formal banking services, **Aadhaar** provides secure digital identity, and expanding mobile and internet connectivity connects citizens with digital financial services.
 - As of **26th August 2026**, **59.15 crore Jan Dhan accounts** had been opened, while Aadhaar enrolments crossed **144 crore by March 2026**, creating a vast user base for fintech services.
- **Unified Payments Interface (UPI): Building Interoperable Digital Payments:** **UPI** has emerged as the backbone of India's digital payment ecosystem by enabling instant, low-cost and interoperable transactions.
- **Digital Identity and Documents:** Secure digital identity and document systems have reduced barriers in financial onboarding and verification.
 - **Aadhaar e-KYC** enables paperless customer authentication and has processed over **2,458 crore transactions as of 29th June 2026**. Similarly, **DigiLocker**, with over **73.53 crore registered**

users and **936.03 crore issued documents** , strengthens trust and efficiency in digital financial services.

- **Direct Benefit Transfer (DBT):** DBT leverages digital financial infrastructure to transfer government benefits directly into beneficiaries' bank accounts. By reducing intermediaries and leakages, it improves transparency and efficiency in welfare delivery.
 - The cumulative value of DBT transfers reached **₹53.26 lakh crore as of September 2026** , demonstrating the capability of India's digital ecosystem to support large-scale financial transactions.
- **Open Digital Commerce:** The **Open Network for Digital Commerce (ONDC)** extends India's interoperable digital model beyond payments by creating an open marketplace ecosystem.
 - By **June 2026** , ONDC had expanded to over **20 crore buyers and 5 lakh sellers across 1,000+ cities** . Its **Financial Services category** provides new opportunities for fintech firms to deliver digital financial products and expand market access.

What is the Regulatory Ecosystem for FinTech in India?

- **Self-Regulation and Industry Standards:** The **RBI Framework for Self-Regulatory Organisation(s) in the FinTech Sector (SRO-FT), 2024** promotes responsible practices, ethical conduct, market integrity and effective grievance resolution within the fintech industry.
- **Strengthening Digital Payment Security:** The **RBI Master Directions on Digital Payment Security Controls (2021)** establish minimum security standards for digital payment channels, including internet and mobile banking.
 - Additionally, the **National Payments Corporation of India (NPCI)** uses **Artificial Intelligence (AI) and Machine Learning (ML)-based fraud monitoring systems** to enhance security in UPI transactions.
- **Ensuring Data Protection and Privacy:** The **Digital Personal Data Protection Act, 2023** and the **Digital Personal Data Protection Rules, 2025** , notified by the Ministry of Electronics and Information Technology, provide a framework for protecting personal data and strengthening user trust in digital financial services.
- **Regulatory Sandbox for Innovation:** The **RBI Regulatory Sandbox framework** , introduced in **August 2019** , enables fintech companies to test innovative financial products and services in a controlled environment before wider deployment. It encourages experimentation while ensuring regulatory oversight.
- **Consumer Protection in Digital Lending:** To address risks associated with fraudulent digital lending platforms, RBI has strengthened regulations through measures such as the **Digital Lending Apps (DLA) directory** and cybercrime reporting mechanisms through the **National Cybercrime Reporting Portal** and helpline **1930** . The **SACHET portal** further enables citizens to report complaints related to illegal deposit-taking activities.

Conclusion

India's fintech transformation demonstrates how **Digital Public Infrastructure, innovation and regulatory trust** can democratise financial services at population scale. The next phase of fintech growth will depend on balancing technological advancement with **security, inclusion and responsible innovation** , enabling India to emerge as a global leader in digital finance.

Drishti Mains Practice Question

India's fintech revolution, underpinned by Digital Public Infrastructure (DPI), has significantly enhanced financial inclusion and efficiency. However, emerging technologies also pose new risks to financial stability and consumer protection. Discuss.

Frequently Asked Questions (FAQs)

1. What is FinTech?

FinTech refers to the use of **technology-driven innovation** to improve the efficiency, accessibility and delivery of financial services through new business models, applications, processes and products.

2. What is the Global Fintech Fest (GFF) 2026?

The **7th Global Fintech Fest**, held in **Mumbai from 8-11 September 2026**, is a major global platform for fintech innovators, policymakers, financial institutions and technology leaders.

3. What is the theme of GFF 2026?

"Potential to Impact: Agentic AI | Tokenisation | Quantum: Trusted, Connected, Global Systems for Inclusive Finance."

4. What are the three core technologies highlighted by GFF 2026?

Agentic AI enables autonomous financial decision-making, **tokenisation** converts assets into programmable digital units, and **quantum technology** strengthens computation, risk optimisation and quantum-safe security.

5. How has FinTech promoted financial inclusion in India?

By reducing **information asymmetry and transaction costs**, expanding access to formal financial services and supporting underserved populations; India's **Financial Inclusion Index rose from 43.4 in March 2017 to 70.0 in March 2026**.

[Watch Video on YouTube:

▶ <https://www.youtube.com/embed/-hWQWaqEuzk>]

UPSC Civil Services Examination, Previous Year Questions (PYQs)

Prelims

Q. With reference to India, consider the following: (2010)

1. Nationalisation of Banks
2. Formation of Regional Rural Banks
3. Adoption of village by Bank Branches

Which of the above can be considered as steps taken to achieve the “financial inclusion” in India?

- (a) 1 and 2 only
- (b) 2 and 3 only
- (c) 3 only
- (d) 1, 2 and 3

Ans: (d)

Mains

Q1: Examine the view that financial inclusion is an integral part of social and economic Financial inclusion in a country like India. Also throw light on the usefulness of the R.B.I.'s Inclusion Index. **(2026)**

Q2: Is inclusive growth possible under market economy? State the significance of financial inclusion in achieving economic growth in India. **(2022)**

Swachhata Hi Seva 2026



Source: PIB

Why in News?

The **Swachhata Hi Seva (SHS) 2026 campaign** is being organised from **17th September to 2nd October 2026** with the theme: **“Swachhata Mein Sahbhag; Swachh Bharat, Viksit Bharat”**.

What are the Key Facts about Swachhata Hi Seva

(SHS)?

- **About: Swachhata Hi Seva (SHS)** has been observed annually since **2017** as a cleanliness campaign conducted before **Swachh Bharat Diwas on 2nd October** .
- **Objective:** The campaign aims to promote **voluntary citizen participation and collective ownership of cleanliness** under the broader **Jan Bhagidari approach of the Swachh Bharat Mission (SBM)** .
- **Evolution:** The campaign has expanded towards **sustainable sanitation, waste management, sanitation workers' welfare, youth participation and collective responsibility** through a **whole-of-government and whole-of-society approach** .



Swachhata Hi Seva 2026

- **Approach:** The campaign follows a **Whole of Government** and **Whole of Society** approach, with emphasis on youth participation, stakeholder responsibility and community ownership.
 - It also focuses on creating awareness about the **Solid Waste Management Rules, 2026** and strengthening the understanding of waste management responsibilities among different stakeholders.



Five Core Activity Pillars of SHS 2026

- Transformation of Cleanliness Target Units (CTUs) and Clean Public Places:** The campaign focuses on transforming neglected garbage points and difficult-to-clean locations through waste removal, beautification and sustained maintenance.
 - Citizens can report sanitation-related grievances through the **Swachhata App** , and identified locations can be mapped on the SHS 2026 portal.
 - Public and community toilets are assessed through **FACES parameters** , which include **Functional, Accessible, Clean, Eco-friendly and Safe** facilities.
- Swachh Paathshala - Yuva for Swachhata:** This initiative gives a dedicated role to students and youth in promoting long-term behavioural change towards cleanliness.
 - Students from **Classes 6 to 12** participate in **Swachhata Gyan Yatras** to understand waste management and sanitation practices.
- SafaiMitra Suraksha Seva Evam Samman Shivirs:** This initiative focuses on sanitation workers and their families by providing health services, safety equipment and welfare support. It aims to recognise the contribution of sanitation workers and improve their working conditions.
- Jan Bhagidari for Swachhata:** Jan Bhagidari remains a central pillar of SHS 2026 by encouraging citizens and institutions to take responsibility for everyday cleanliness.
 - The campaign promotes awareness about the **Solid Waste Management Rules, 2026** , four-way source segregation, home composting and reduction of littering.
 - It also encourages campaigns against single-use plastics, Swachhata rallies, human chains, public cleanliness pledges and collection drives for reusable household items.
 - The campaign promotes **“Swachh Parv, Harit Parv”** by encouraging eco-friendly and plastic-free celebrations during festivals.

- **Swachhata Se Samridhi:** This pillar connects cleanliness with **resource recovery and circular economy principles** by promoting the **Reduce, Reuse and Recycle (3R)** approach.
- **Kabaad Se Jugaad** encourages the creation of useful products from discarded materials, while **Kabaad Se Kala** promotes artistic creations using waste materials.
- These initiatives aim to transform waste into resources while encouraging creativity and sustainability.

What are the Key Points About Swachh Bharat Mission (SBM)?

- **About:** Swachh Bharat Mission (SBM) was launched on 2nd October 2014 as one of the world's largest government-led sanitation movements. The SBM logo features Mahatma Gandhi's spectacles, symbolising his emphasis on cleanliness and social responsibility.
 - The logo helped create a strong identity for the cleanliness movement and encouraged public participation.
- **Components of SBM:**
 - **Swachh Bharat Mission-Grameen (SBM-G)** : Focuses on rural sanitation, toilet access, usage and solid-liquid waste management.
 - **Swachh Bharat Mission-Urban (SBM-U)** : Focuses on urban sanitation, waste management, public spaces and cleanliness infrastructure.
- **Rural Sanitation Achievements:** Rural India was declared **Open Defecation Free (ODF)** in 2019 .



- **ODF Plus Village:** A village that sustains its **Open Defecation Free (ODF)** status and ensures effective management of **solid waste, liquid waste and visual cleanliness** .
- **Classification of ODF Plus Villages:**
 - **Aspiring:** Manages either **solid waste or liquid waste** .
 - **Rising:** Manages both **solid waste and liquid waste** .
 - **Model:** Manages both waste streams along with **visual cleanliness and ODF Plus awareness messaging** .
- **Urban Sanitation Achievements:**



Conclusion

Swachhata Hi Seva has transformed cleanliness from a government programme into a **people-driven movement**. Its journey from toilet construction to waste management, public-space transformation and behavioural change reflects the evolution of India's sanitation approach. Sustained citizen participation, scientific waste management and dignity for sanitation workers will be essential for achieving a truly **clean, sustainable and inclusive India**.

Drishti Mains Practice Questions

Swachhata Hi Seva has transformed sanitation from a government-led programme into a citizen-driven movement. Discuss.

Frequently Asked Questions (FAQs)

Q1. What is Swachhata Hi Seva (SHS)?

Swachhata Hi Seva is an annual cleanliness campaign launched in **2017** that promotes **citizen participation and collective ownership of cleanliness** under the Swachh Bharat Mission.

Q2. When is Swachhata Hi Seva 2026 being organised?

SHS 2026 is being organised from **17 September to 2 October 2026**.

Q3. What is the theme of Swachhata Hi Seva 2026?

The theme of SHS 2026 is **"Swachhata Mein Sahbhag; Swachh Bharat, Viksit Bharat."**

Q4. What is the objective of SHS?

The objective is to promote **voluntary cleanliness action, behavioural change and community participation** through the **Jan Bhagidari approach**.

Q5. When was the Swachh Bharat Mission launched?

The **Swachh Bharat Mission (SBM)** was launched on **2 October 2014**.

UPSC Civil Services Examination, Previous Year Questions (PYQs)

Mains

Q. “To ensure effective implementation of policies addressing the water, sanitation and hygiene needs the identification of the beneficiary segments is to be synchronized with anticipated outcomes.” Examine the statement in the context of the WASH scheme. **(2017)**

Q. How could social influence and persuasion contribute to the success of Swachh Bharat Abhiyan? **(2016)**

Research and Analysis Wing (R&AW)



Source: IE

Recently, the **Research and Analysis Wing (R&AW)** completed 58 years since its establishment on 21st September 1968.

- **About R&AW:** It is India's **primary external intelligence agency, functioning under the Cabinet Secretariat** and reporting directly to the **Prime Minister's Office (PMO)**.
- **Background:** India's external security environment after the **1962 India-China War** highlighted the need for a dedicated foreign intelligence agency. Until 1968, the **Intelligence Bureau (IB)** handled **both internal and external intelligence**, but intelligence shortcomings during the war led to the creation of a separate organisation.
- **Establishment:** Created in 1968 under Prime Minister **Indira Gandhi**, with **R.N. Kao as its first chief**, who built its institutional structure and operational capabilities.
- **Key Objectives:** **Monitoring developments in neighbouring countries, gathering foreign intelligence, and supporting national security** and foreign policy objectives.
- **Major Milestones:** R&AW is credited with **significant intelligence contributions during the 1971 Bangladesh Liberation War**, including intelligence support and coordination with resistance groups.
- **Evolution :** Over time, its focus **expanded from China and Pakistan to broader areas** such as counterterrorism, strategic intelligence and regional security.

ARCHITECT OF INTELLIGENCE: THE LEGACY OF R.N. KAO

Key Contributions as Founding Secretary of R&AW

AVIAN RESEARCH CENTRE (ARC)

- Established: 1960s



- Developed India's aerial intelligence capabilities for strategic surveillance.

SPECIAL FRONTIER FORCE (SFF)

- Contributed to its establishment
- Specialized unit for difficult Himalayan terrain and border area operations.



1971 BANGLADESH LIBERATION WAR

- Crucial intelligence support to the Indian military



- Crucial intelligence support to the Indian military
- Advance warning of Pakistan's planned air strikes.
- Coordinated with the Bengali resistance movement.

LATER STRATEGIC ROLE (1981)



- Senior Adviser in the Cabinet Secretariat
- Contributed to strategic and national security matters.

INTEGRATION OF SIKKIM (1975)

- Significant role in the events leading to integration.



- Sikkim became the 22nd State through 36th Constitutional Amendment Act.

Read More: [4th Conference of Global Intelligence & Security Chiefs](#)

Role of ECI in Resolving Political Party Disputes & Symbol Allocation



Source: IE

The **Election Commission of India (ECI)** froze the '**All India Trinamool Congress**' name and its reserved symbol due to competing claims from rival factions ahead of the West Bengal Assembly bypolls.

- **Freezing of Symbols:** If the ECI cannot conclude proceedings before an imminent election, it may issue an interim order to **freeze the reserved symbol**.
 - Both factions are then directed to contest under temporary names and choose separate symbols from the ECI's list of 'free symbols'.
- **Legal Framework and ECI's Authority** The ECI derives its authority to resolve party name and symbol disputes from [Article 324 of the Constitution](#), the [Representation of the People Act \(1951\)](#), and the [Election Symbols \(Reservation and Allotment\) Order, 1968](#).
 - **Paragraph 15:** Under the 1968 Order, the ECI is the sole authority empowered to decide which rival faction of a recognised national or state party is the "real" party. Its decision is binding.
 - **Unrecognised Parties:** For registered but unrecognised parties, the ECI does not adjudicate symbol disputes, instead advising internal resolution or directing them to civil courts.
- **The 'Test of Majority':** The Supreme Court in *Sadiq Ali v. Election Commission of India (1971)* upheld the ECI's power under Paragraph 15 to resolve disputes between rival factions of political parties, establishing a **three-test formula for determining the legitimate party group**.
 - **Test of Aims and Objects:** Examining the party's constitution and primary objectives.
 - **Test of Party Constitution:** Evaluating which faction adhered to internal rules and democratically held organisational elections.
 - **Test of Majority (Legislative and Organisational):** The most crucial metric. The ECI assesses the numerical strength of each faction's organisational wing (office bearers, delegates) and legislative wing (elected MPs and MLAs).
- **Fallback Mechanism:** If organisational support is disputed or unclear, the ECI relies heavily on the majority support among the elected legislative representatives.
- **Fate of the Losing Faction** Once the ECI makes a final determination, the faction that loses the claim to the original name and symbol. **It may continue under another name/symbol if allotted by ECI.**
 - It must earn its own State or National recognition based strictly on its future electoral performance, regardless of its past association.

Read more: [Election Symbols](#)

New Cat Species 'Tilcayo' Identified in Bolivia



Source: TH

A new wild cat species named **Tilcayo (*Leopardus tilcayo*)** has been identified in **Bolivia's Yungas cloud forests** , marking the **first formal description of a new living cat species in over a century** .

- **About:** *Leopardus tilcayo* is a small spotted wildcat belonging to the tiger cat group (*Leopardus* genus). It is named after Tilcayo, the name used by local communities for the animal.
- **Discovery & Identification:** The species was identified after a rescued kitten was found in **2016** and later transferred to the **Senda Verde Wildlife Sanctuary** . Genomic analysis confirmed it as a distinct species.
- **Features:** The cat is around **46 cm long** , weighs about **1.4 kg** , and has **light brown fur with irregular rosette patterns** , making it smaller than an average domestic cat.
- **Habitat:** It is found in the **Yungas cloud forests of Bolivia** , a biodiversity-rich ecosystem located on the **eastern slopes of the Andes** .
- **Ecology:** Limited information is available about its population, diet and behaviour. Initial evidence suggests feeding on **small rodents** and possible **nocturnal activity** .
- **Conservation Status:** The discovery may lead to a separate **IUCN assessment** as tiger cat species are reassessed individually, potentially revealing higher conservation risks.
- **Threats:** The Yungas ecosystem faces pressures from **deforestation, agriculture, forest fires and mining** , highlighting the need for habitat protection and biodiversity conservation.



Read More: [India to Host 1st International Big Cat Summit](#)

SLINEX-26



Source: PIB

The **13th edition of Sri Lanka-India Naval Exercise (SLINEX -26)** is being conducted at **Visakhapatnam, Andhra Pradesh from 17th -21st September 2026** under the aegis of the Eastern Naval Command.

- **About:** SLINEX is a **bilateral maritime exercise** between the Indian Navy and the Sri Lanka Navy. Conceptualised in **2005** , it has evolved as an important platform for enhancing **maritime cooperation, interoperability and mutual understanding** between India and Sri Lanka.
- **Phases:** The exercise comprises **two phases — Harbour Phase** involving professional interactions and cultural activities, followed by **Sea Phase** focusing on maritime coordination and interoperability.
- **Participating Platforms:** The **Indian Navy** is participating with **INS Kavaratti** , an indigenous **Anti-Submarine Warfare Corvette** , and **INS Jyoti** , the **Fleet Tanker** , while the **Sri Lanka Navy** is represented by **SLNS Sindurala** .
- **Significance:** The exercise is aligned with India's **MAHASAGAR (Mutual and Holistic Advancement for Security and Growth Across Regions) vision** , which focuses on promoting a secure, stable and inclusive maritime environment in the Indian Ocean Region.

Read More: [SLINEX-25](#)